Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 677606; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2024
Question: Biodiversity Risk Assessment
Include Modeled Scores : Yes

Biodiversity Risk Assessment

Question

Does the company assess dependency- and impact-related biodiversity risks covering all its relevant activities?

Rationale

The purpose of this question is to determine to what extent companies are taking inventory of biodiversity risks. Biodiversity forms the foundation for all of life. Businesses have long utilized nature's resources without having to pay a full price for the privilege. The externalities of these actions have brought the planet to a turning point—either continue elevated levels of dependency and impacts on nature or follow a path towards a more holistic approach. The world—humans, businesses, economies—face a risk of collapse if we continue to exceed nature's boundaries. The only foreseeable option asking businesses to deeply consider their relationship with nature and work collaboratively with stakeholders to achieve mutually beneficial outcomes.

This question focuses on the ability of companies to recognize the importance of biodiversity and related risks and opportunities. This includes identifying risks to alleviate pressure on ecosystems while still working within the parameters of business operations. The risk assessment should then be used to inform a company-wide risk management process, ideally through a location-specific approach. This question also asks for a high level of industry collaboration with external stakeholders—to create meaningful processes; operate sustainably within upstream and downstream activities; and transform existing systems.

Performance Summary	
Question Level Company Performance	61
Question Weight	20
Year-on-Year Change	20
Industry Average Score	26
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Location-specific approach: Refers to any dependencies or impacts that are occurring at a particular place in a company's value chain.

Methodologies and Frameworks: A methodology refers to a system of methods used for assessing biodiversity-related risks, to assess the reliability of the assessment. A framework provides a structure intended to guide the development of an assessment. A framework is intended to assure stakeholders that the biodiversity assessment is guided by a reliable foundation. Acceptable methodologies may include:

- TNFD LEAP Nature Risk Assessment Approach
- Integrated Biodiversity Assessment Tool (IBAT)
- Species Threat Abatement and Restoration Metric (STAR)
- Natural Capital Finance Alliance's Encore
- WWF Biodiversity Risk Filter

Impact: Can be a positive or negative contribution of a company toward the state of nature. Examples might include pollution of air, water, soil; the fragmentation or disruption of systems and natural habitats; and the alteration of ecosystems.

Dependency: Aspects of nature's contributions to people that a person or organization relies on to function. This might include water flow and quality regulation; regulation of hazards like floods and fires; pollination; and carbon sequestration.

Own Operations: Includes any business activity which directly impacts natural capital through its own operations—own employees, business, subsidiaries, products and services, business units, regions, sites, plants, and facilities. This also includes indirect impacts that depend on critical commodities in its supply chain. Such activities may include production, extraction, plantation, construction, power generation, transmission, or development activities.

Adjacent Areas: Value chain sites which are adjacent (between 0 and 2km from the nearest site) to landscapes, seascapes, and watersheds critical to biodiversity.

Upstream Activities: Activities that include operations that relate to the initial stages of producing a good or service, e.g., material sourcing, material processing, and supplier activities. This includes brokers, consultants, contractors, distributors, franchisees or licensees, home workers, independent contractors, manufacturers, primary producers, sub-contractors, tier-1 and 2 suppliers and wholesalers.

Downstream Activities: Activities that include operations that relate to processing materials into a finished product and delivering it to the end-user (e.g., transportation, distribution and consumption).

Data Requirements

Additional credit will be granted for the public disclosure of the section elements listed below:

- Process description
  - Use of a location-specific approach
  - References to methodologies or frameworks used for assessment
- Scope of the biodiversity risk assessment
  - All options need to be verifiable from public documents
- Risk identified
  - All options need to be verifiable from public documents

This question may be marked "Not applicable" for companies that can credibly demonstrate in a comprehensive comment that their company has:

- No impact on biodiversity in its own operations
- No impact on biodiversity in the company's key raw material supply chains
- No impact at the use-phase or end-of-life of products/services use
- No financing activities which impact or depend on biodiversity

Industry-Specific Guidance:

Utilities (ELC, GAS, MUW)

- ELC & GAS: Utilities that have no power generation or transmission business or are only in electricity/gas distribution should mark "Not applicable" and provide an explanation in the comment box.
- MUW industry: Pure water utilities should mark "Not applicable" and provide an explanation in the comment box.

Real Estate (REI and REM)

- Companies that have not marked 'Development of major renovation and new construction' as one of the main activities of the business in question '0.1 Denominator Area' should mark "Not applicable".
- Companies that have marked 'Development of major renovation and new construction' as one of the main activities of the business in question '0.1 Denominator Area' but are only operating in urban environments should mark "Not applicable" and provide an explanation in the comment box.

Consumer Discretionary (CNO, REX, TRT)

Companies in the following industries that are only providing online services should mark "Not applicable" and provide an explanation in the comment box.

- CNO Casinos & Gaming industry
- REX Restaurants & Leisure Facilities
- TRT Hotels, Resorts & Cruise Lines

Industrials (ICS)

Companies that are not involved in waste management activities should mark "Not applicable" and provide an explanation in the comment box.

References

TNFD- LEAP: https://framework.tnfd.global/the-leap-nature-risk-assessment-process/evaluate/identification-environmental-assets/

Nature Positive: https://naturepositive.com/baseline-biodiversity-assessments/

Integrated Biodiversity Assessment Tool (IBAT): https://www.ibat-alliance.org/

Natural Capital Finance Alliance's Encore: https://encore.naturalcapital.finance/en

STAR (Species Threat Abatement and Restoration Metric): https://www.iucn.org/resources/conservation-tool/species-threat-abatement-and-recovery-star-metric

WWF Risk Biodiversity Filter: https://wwwwwfsw.cdn.triggerfish.cloud/uploads/2022/05/wwf-a-biodiversity-guide-for-business.pdf

Standards & Frameworks

CSRD - E4 IRO-1 17(a) AR 4-AR9, E4 IRO-1 17(b) AR 8, E4-1 13(a) AR 2-AR 3, E4-1 13(b) AR 2-AR 3, E4-1 13(e) AR 2-AR 3

EU Taxonomy - Appendix D - Protection and Restoration of Biodiversity and Ecosystems

WEF Metrics - Integrating risk and opportunity into business process

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Biodiversity Risk Assessment is completed with the following elements and public evidence is available.	Applicable
Use of location-specific approach? is explained publicly.	YES
References to methodologies or frameworks used for assessment??is explained publicly.	YES
Integrated into multi-disciplinary company-wide risk management processes is explained publicly.	-
Dependency-related biodiversity risks considered in risk assessment is explained publicly.	-
Impact-related biodiversity risks considered in risk assessment?is explained publicly.	YES
Scope of biodiversity risk assessment? includes own operations	YES
Scope of biodiversity risk assessment? includes adjacent areas to own operations	YES
Scope of biodiversity risk assessment? includes upstream activities	-
Scope of biodiversity risk assessment? includes downstream activities	-
Biodiversity-related risks are identified and public reporting is available.	-
Company has identified biodiversity risks and information is provided in a supporting document.	Risks Identified
Public Reporting is available on the process steps of biodiversity risk assessment.	-
Public Reporting is available on the scope of biodiversity risk assessment	YES

Questionnaire

Has your company assessed dependency- and impact-related biodiversity risks covering all relevant activities?

1. (●)

   Yes, we have completed a biodiversity risk assessment.

   Please provide supporting evidence for options selected below and indicate if the evidence is publicly available.

   Process Description

   Describe the processes used for identifying and assessing dependency- and impact-related biodiversity risks covering the elements below and indicate if this information is reported in the public domain. Please provide supporting evidence:

   1. ☐

      We publicly report on the process steps of our biodiversity risk assessment

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2. ☑ Use of location-specific approach
3. ☑ References to methodologies or frameworks used for assessment
4. ☐ Integrated into multi-disciplinary company-wide risk management processes
5. ☐ Dependency-related biodiversity risks considered in risk assessment
6. ☑ Impact-related biodiversity risks considered in risk assessment

Scope of biodiversity risk assessment

Please indicate the scope of your biodiversity risk assessment, and indicate if this information is reported in the public domain. Please provide supporting evidence:

1. ☑ We publicly report on the scope of our biodiversity risk assessment
2. ☑ Own operations
3. ☑ Adjacent areas to own operations
4. ☐ Upstream activities
5. ☐ Downstream activities

Risks identified

Indicate if biodiversity risks were identified, and indicate if this information is reported in the public domain. Please provide supporting evidence:

1. ☐ We publicly report on the biodiversity-related risks which were identified.
1. ◉ Biodiversity-related risks identified
2. ○ No biodiversity-related risks
3. ○ Not known

2. ○ No, we have not done a biodiversity risk assessment.
3. ○ Not applicable. Please provide explanations in the comment box below.
4. ○ Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.